

What Is Possible Behind a Mandate With Millions in Fines

Canada raised the price of getting this wrong to \$20,000,000 for a single violation, began publishing the names of the firms that fail, and put 745 of them on a register anybody can open. This document is about what a software company has actually captured when it arrived behind a mandate that size. Twenty vendors were examined against the specific law that forced their buyers to act. Where the regulator published a list of who was bound they reached 14 to 31 per cent of it, and where the population was an analyst's estimate the same category stopped near 1 per cent. The plan is placed inside that record here, and the one assumption the record cannot test is named.

28.7%

PLANNED SHARE OF THE
745 NAMED FIRMS

14-31%

WHAT REGISTRY MANDATES
ACTUALLY DELIVERED

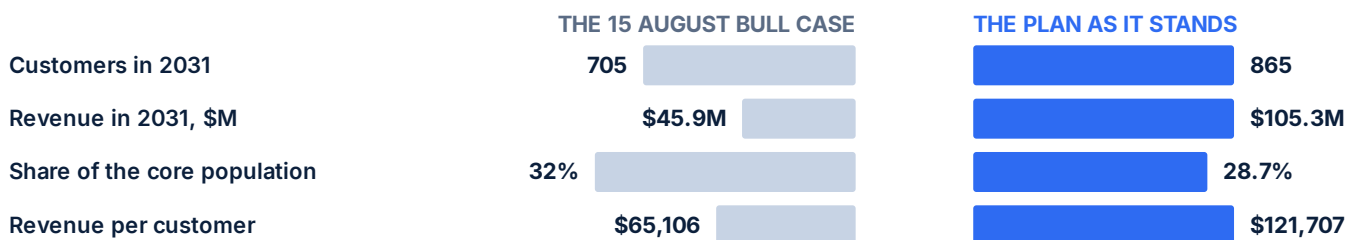
1.87x

PRICE PER CUSTOMER
AGAINST THE BULL CASE

8

CLAIMS WITHDRAWN ON
RE-VERIFICATION

1 What moved since the paper this replaces



A paper written on 15 August argued the plan was too conservative and set out a bull case of 705 customers and \$45.9 million. The rate card was reset two days later and the base case now carries more than twice that. Grey is that bull case, blue is the plan as it stands, and bars are scaled within each row because the four rows are in different units. The finding is in the last two rows. Share of the core population went down, from 32 per cent to 28.7 per cent. Revenue per customer went up by 1.87 times. The plan did not become more ambitious about how many firms it wins. It became more ambitious about what each one pays.

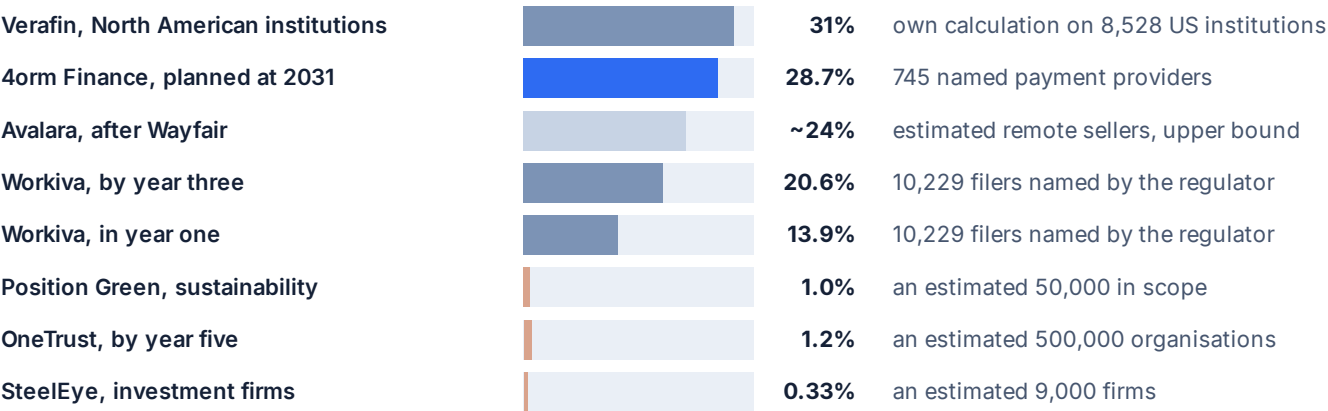
Which is the right way round

Penetration is the assumption a reader can test against other companies, and this document does that on the next four pages. Price is the assumption a reader can only test against customers, and no customer has confirmed one. Moving ambition out of penetration and into price makes the plan harder to falsify from the outside, which is a reason to hold it to a higher standard rather than a lower one.

2

What registry defined mandates actually delivered

Twenty regulation triggered vendors were examined against the specific law that forced their buyers to act. The outcomes split cleanly on one variable, and it is not product quality. It is whether the regulator published a list of who was bound.



Share of the mandated population each vendor reached. Mid navy is a population a regulator published as a list, rust is one an analyst estimated, pale is a published trigger with an estimated population. The gap between the two groups is roughly twenty times, and it does not close with effort. OneTrust was one of the fastest growing private companies in American history and reached 1.2 per cent, because its market was an estimate of half a million firms.

Why this is the finding rather than a finding

It is the only variable in the set that separates the two groups cleanly. Product quality does not: OneTrust was ranked one of the fastest growing private companies in American history while reaching 1.2 per cent. Severity of the rule does not: the European privacy regulation is as severe as any law here. Size of the population does not, and it runs the wrong way, because the smallest populations produced the highest shares. What separates them is whether a salesperson could open a list and count the names on it.

SOURCES ON THIS PAGE

Source	What it carries	Class
Workiva, investor filing	Customer counts for 2011 to 2013 behind the year one and year three ratios. Open	Primary
United States Securities and Exchange Commission, rule 33-9002	The filer population of 10,229. Open	Primary
Avalara, annual report	Core customer counts across the decision. Open	Primary
Nasdaq Verafin	More than 2,750 institutions at March 2026. The 31 per cent is our own calculation against FDIC and NCUA counts of 8,528 US institutions. Open	Primary

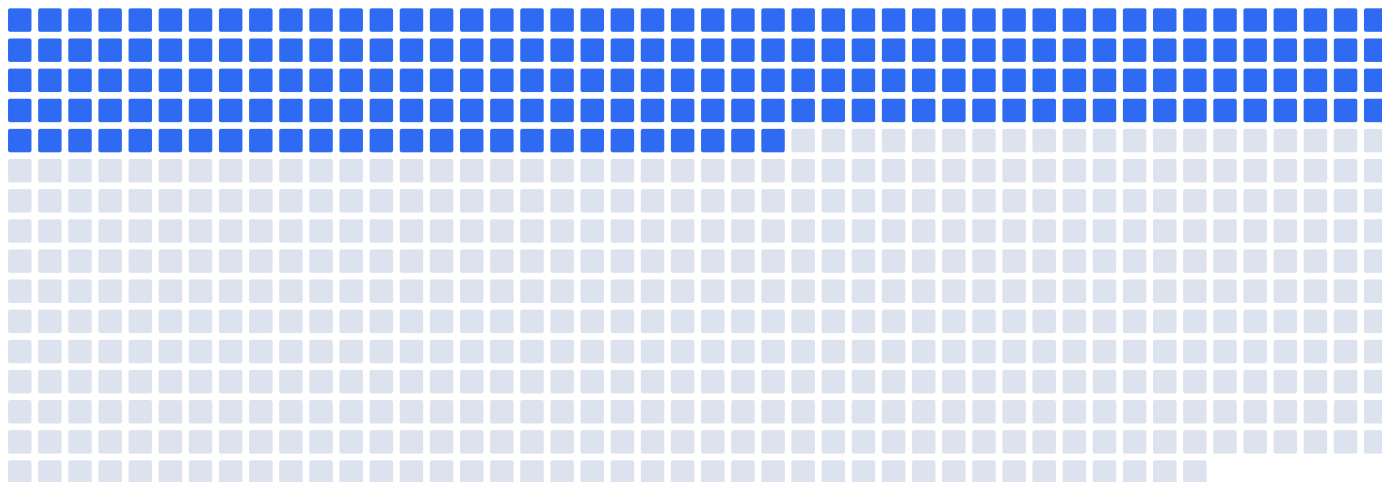
3 The same record, drawn against the size of the population



Every vendor from the page before, placed by how many entities its rule named and how much of that population it took. Blue is the plan. Mid navy is a population a regulator published as a list, pale is a published trigger with an estimated population, rust is a population an analyst estimated. The horizontal scale runs by orders of magnitude because the populations run from 161 firms to half a million. Nothing sits in the middle of this chart. The vendors with a list are along the top and the vendors with an estimate are along the floor, and the two groups are not separated by how big their market was.

4 What the planned share of a named register looks like

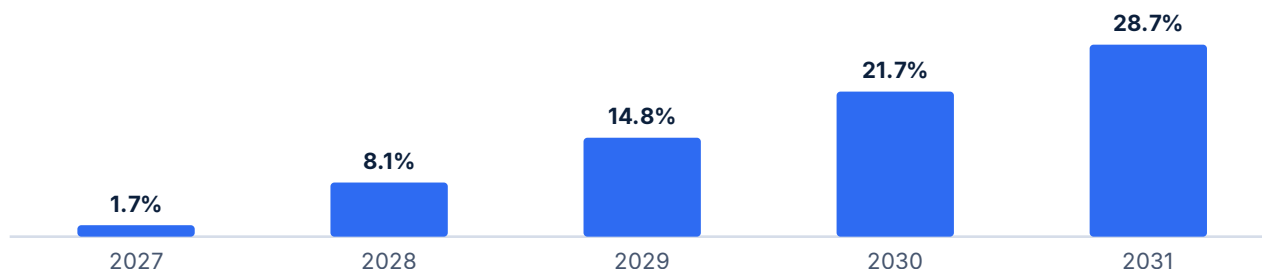
ONE MARK FOR EACH OF THE 745 PAYMENT PROVIDERS FLAGGED AS HOLDING FUNDS



Filled marks are the 214 firms the plan carries at 2031, which is 28.7 per cent. The 531 unfilled marks are on the same public register, carry the same duty, and are not in the plan. This is the whole of the core population: it is a page of marks rather than a market that has to be estimated, and a salesperson can open the register and count them.

5 Where the plan sits inside that band

PLANNED SHARE OF THE 745 FIRMS THAT HOLD FUNDS, YEAR BY YEAR



The plan crosses Workiva's year one outcome of 13.9 per cent in 2029, its year three outcome of 20.6 per cent in 2030, and lands at 28.7 per cent in 2031. That places the whole ramp inside the observed band for a registry defined mandate, below Verafin's 31 per cent and above both Workiva marks. It is a demanding curve and it is not an unprecedented one.

6 The three tests the plan passes, and the one it does not

Test	What the precedents show	The plan	Reading
Is the population published and named	Every vendor above 13 per cent had a list. Every vendor below 1.5 per cent had an estimate	745 firms on a public register, each flagged as holding funds	Passes
Is the share inside the observed band	14 to 31 per cent within three to five years of a registry defined mandate	28.7 per cent by 2031, five years after the duty came into force	Passes, near the top
Is the duty one a buyer cannot wait out	Mandates that slipped produced vendor write offs. Mandates in force produced capture	In force since 8 September 2025, and due at the close of every day since, which is 344 of them counting today	Passes
Is the price inside anything observable	No precedent in this set discloses price per obligated firm on a comparable basis	\$121,707 average per customer in 2031, against \$65,106 in the earlier bull case	No anchor, and it is the exposed assumption

Legend. Passes means the plan sits inside what has been observed elsewhere. No anchor means no precedent in this set discloses the same measure on a comparable basis, so the assumption stands on its own.

The one number to take into diligence

Three of the four tests are answerable from other companies' filings. The fourth is not, because vendors do not disclose price per obligated firm. So the plan's penetration can be defended with evidence and its pricing cannot. That is the single most useful sentence in this document, and it points at the same twenty discovery conversations the market size paper asks for.

7 The vendor record, with the filing behind each figure

Vendor	The mandate	Population	What it reached	Revenue
Workiva	Interactive data rule, phased from 2011	10,229 filers, published by the regulator	1,421 customers in year one, 13.9 per cent. 2,103 by year three, 20.6 per cent	US\$14.9M to US\$85.2M across 2011 to 2013
Avalara	The Wayfair decision, June 2018, then laws in 45 states taxing sellers with no premises there	Roughly 50,000 remote sellers, estimated	9,150 to 14,890 core customers across 2018 to 2020. The 24 per cent is an upper bound	US\$272.1M to US\$500.6M, growth rising from 28 to 41 per cent
Xero, United Kingdom	Digital tax for value added tax, April 2019	1.2 million businesses mandated	Revenue and subscribers each up 51 per cent in the half year after. Share is an upper bound because the base includes unmandated firms	US\$183.6M to US\$370.8M
Pagero	Italian electronic invoicing, January 2019	Roughly 40 per cent of Italian businesses forced digital	75,300 to 85,900 customers	SEK 264.9M to 600.1M, 22.7 per cent compound
AuditBoard	Internal control over financial reporting	The Fortune 500, a published list	40 per cent of the Fortune 500 at \$150M of recurring revenue, over 50 per cent at \$300M	\$100M to \$300M of recurring revenue
Verafin	Money laundering supervision, North America	8,528 US institutions on federal registers, plus Canadian credit unions	More than 2,750 institutions by March 2026, over roughly 23 years	Sold at US\$2.75B, stated at about 19.5 times expected revenue

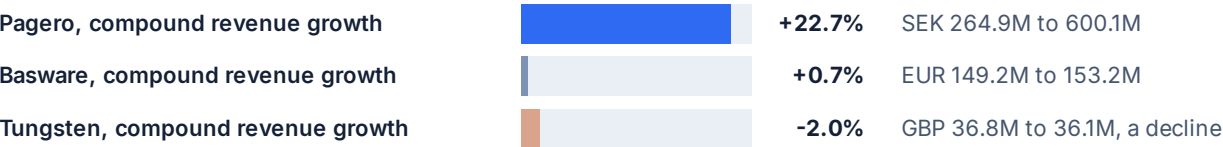
Legend. Every figure here comes from the source named below. Where a share is derived rather than published, the cell says so.

SOURCES ON THIS PAGE

Source	What it carries	Class
Workiva, investor filing	Customer counts and revenue, 2011 to 2013. Open	Primary
Avalara, annual report	Core customers and revenue, 2018 to 2020. Open	Primary
AuditBoard	The \$300M recurring revenue milestone and the Fortune 500 share. Open	Primary
Nasdaq, acquisition disclosure	US\$2.75B at about 19.5 times expected revenue. Open	Primary
Thomson Reuters	The Pagero acquisition at about US\$800M. Open	Primary

8

The warning case, which belongs at the front of any pitch



Compound revenue growth for three vendors under the identical Italian electronic invoicing mandate, in the same years. The rule was the same for all three. The Tungsten bar is drawn from its absolute value because the scale starts at zero, and the direction is carried by the label.

What this rules out

Any argument of the form: the regulation is severe, therefore the vendor wins. Basware faced a severe regulation and grew 0.7 per cent a year. Mandate exposure and mandate capture are separate things, and only one of them is a plan.

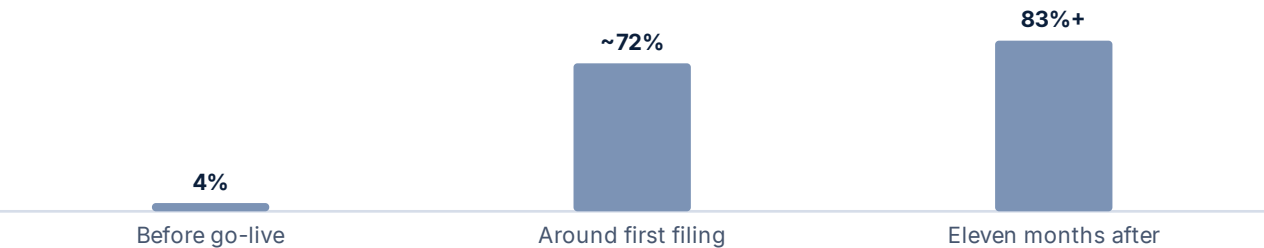
What separated them

Distribution. Pagero carried breadth of jurisdiction coverage on one engine and reached buyers through the channel the mandate created. The plan's equivalent channel, the independent reviewers and assurance firms, does not exist yet and no relationship is signed.

9

The adoption curve, and when the money arrives

UNITED KINGDOM DIGITAL TAX SIGN-UPS AGAINST 1.2 MILLION MANDATED BUSINESSES



Adoption clustered at the filing event rather than at the announcement. This regime differs from every precedent in one structural way that has to be stated: it has no single filing date to cluster around. The duty falls due every day and the annual report every 31 March. That removes the one large adoption spike this curve shows and replaces it with a smaller repeating one, which means the channel has to pull revenue forward rather than a deadline pushing it.

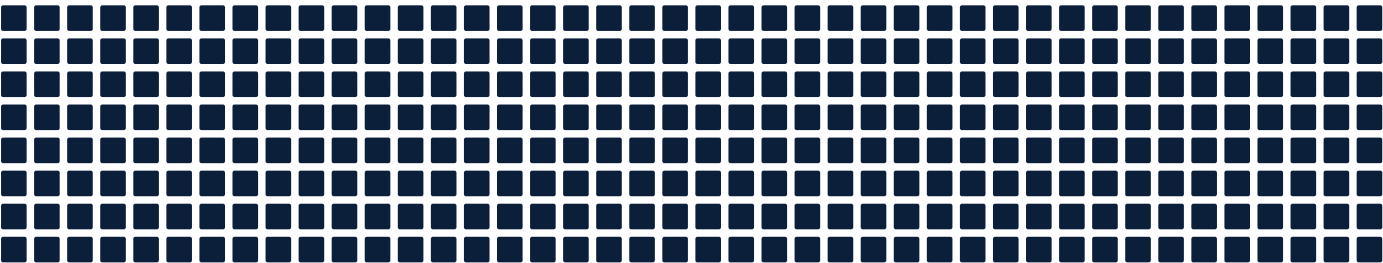
SOURCES ON THIS PAGE

Source	What it carries	Class
His Majesty's Revenue and Customs, evaluation	The sign-up curve against the mandated base. Open	Primary
Tungsten, FY2021 presentation	Revenue under the same mandate Pagero grew into. Open	Primary
Basware, annual report 2021	Revenue under the same mandate. Open	Primary

10

A duty that falls due every day, drawn

ONE MARK FOR EVERY DAY THE END USER LEDGER HAS FALLEN DUE SINCE 8 SEPTEMBER 2025



Section 15 of the safeguarding regulation requires a ledger of each end user's position at the close of every day. It came into force on 8 September 2025 and it has fallen due 344 times counting today. None of those days can be reconstructed afterwards. That is the structural difference between this regime and every precedent in this document: there is no single filing date to cluster adoption around, so a firm without the record is already in breach rather than approaching a deadline.

11

How a duty in force turns into a purchase

1

The rule is in force

A ledger of each end user's position at the close of every day, written into the safeguarding regulation and binding since 8 September 2025

2

It falls due again tomorrow

There is no filing date to prepare for. The duty is discharged daily or it is not discharged, and 344 days have now closed

3

The regulator can ask

The Bank of Canada keeps the register and supervises the safeguarding framework of the firms on it

4

A failure carries a price and a name

Up to \$20,000,000 for a single violation, and the names of firms that fail are published

5

The record cannot be backfilled

A day that closed without a ledger cannot be reconstructed later. That is what turns an obligation into a purchase rather than a budget line

SOURCES ON THIS PAGE

Source	What it carries	Class
Safeguarding regulation, SOR/2023-229	The end user ledger duty and the date it came into force. Open	Primary
Bank of Canada, retail payments supervision	The register, the supervisory role and the published penalty regime. Open	Primary

12

How high penetration goes in a population this size

The ceiling depends almost entirely on how many entities are in the population. Above roughly a thousand, documented outcomes collapse into the ten to thirty five per cent band. Below roughly two hundred, they cluster far higher, and they reach the top of the range where the workflow is a statutory chokepoint.

Vendor	Population	What it reached	Over
Verafin	8,528 US institutions plus Canadian credit unions	More than 2,750 institutions, about 31 per cent on our own calculation	23 years
Clio	Legal professionals across more than 130 countries	More than 400,000 legal professionals at US\$500M of recurring revenue	18 years
Celero	161 credit unions outside Quebec	More than 90 credit unions on the managed services business, about 56 per cent	Sold 2024
Central 1, digital banking	The independent Canadian digital banking channel	More than 170 credit unions and banks, transferred as one book	Transferred 2025

Legend. The Celero share is our own calculation: a 2024 customer count against a 2025 sector count, so it is indicative rather than exact. Neither company publishes a penetration figure.

13

The small named populations inside the register

Payment providers holding funds		745	registry defined band applies
Ontario mortgage administrators		263	public register, our count on it
Independent reviewers		120	no roster published, our estimate
Crypto asset trading platforms		22	regulator published list
Canadian dollar stablecoin issuers		20	no register exists yet, our estimate

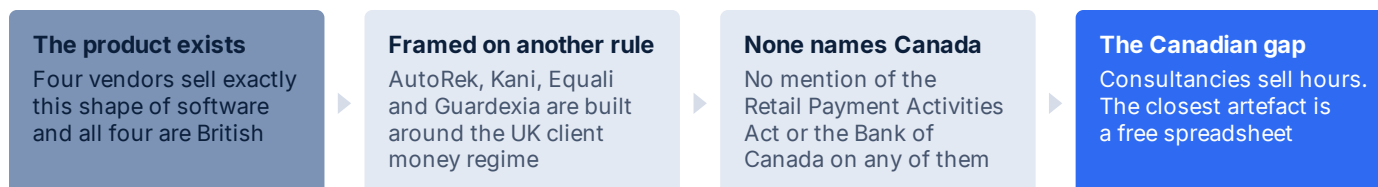
Four of the five populations the plan sells into are smaller than 300 firms, and two are smaller than 25. Documented outcomes in populations that size sit well above the registry band, but this document does not price that in, because the two smallest have no published roster and the sub two hundred evidence rests on Celero and Central 1 rather than on a set large enough to generalise from. It is upside that is named and not counted.

SOURCES ON THIS PAGE

Source	What it carries	Class
Clio	More than 400,000 legal professionals at US\$500M of recurring revenue. Open	Primary
CGI, Celero acquisition	More than 90 credit unions on the managed services business. Open	Primary
Intellect, Central 1 transfer	More than 170 credit unions and banks moved as one book. Open	Primary

14 Nobody in Canada sells this, stated as a search result

This is a negative claim, so it is worded as what was searched rather than as a proven absence. As of 17 August 2026 we could not identify any vendor marketing software specifically for the Canadian safeguarding obligation. What the searches returned was law firms, money laundering consultancies, and one free spreadsheet.



Who was checked	What they actually sell	Safeguarding proof
AutoRek, Kani Payments, Equali, Guardexia	Client money and safeguarding reconciliation software, every one of them framed on the United Kingdom regime and its May 2026 dates	Yes, for another regulator
Cable	Automated control testing. Its published framework list covers the United States, the United Kingdom, Bermuda and Ireland	No, and Canada is not named
Platino Consulting, AML Incubator, Outlier Compliance	Canadian retail payments advisory, including safeguarding framework design, sold as services. Outlier gives away a spreadsheet to help compile the annual report	No, sold by the hour
Hummingbird, Unit21, ComplyAdvantage	Money laundering reporting to the federal financial intelligence unit. Hummingbird and Unit21 file suspicious transaction reports directly; ComplyAdvantage supports the obligation rather than filing it	No, a different obligation
Comply+, Nasdaq Verafin, Alessa	Canadian money laundering reporting and screening	No
The Real Estate Council of Ontario	Tells brokerages the broker of record must review trust reconciliations monthly, and supplies an Excel template for those without accounting software	The incumbent is a spreadsheet, published by the regulator

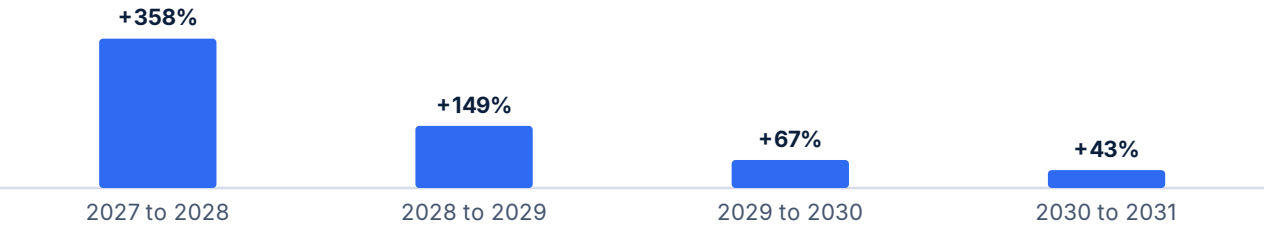
Legend. Checked by direct search of each vendor's own site on 17 August 2026. A vendor is recorded as selling safeguarding proof only where its own material says so.

The honest reading is lightly contested at the safeguarding duty and heavily contested one lane over in money laundering. Two live threats follow from that. A British vendor adding a Canadian mapping is content work rather than engineering, measured in weeks. And a money laundering vendor already owns the Canadian compliance buyer's attention. The defence is not the code. It is the dated content and the months of records already accumulated when they arrive, and every month widens that by one month that cannot be backfilled.

15

Does the growth curve sit inside published benchmarks

PLANNED REVENUE GROWTH, YEAR OVER YEAR



Stage	The plan	Best in class threshold	Reading
\$1M to \$10M of recurring revenue	+358%	230% or more	Above the best in class threshold
\$10M to \$25M of recurring revenue	+149%	135% or more	Above the best in class threshold
Below \$1M of recurring revenue	not applicable	400% at the 90th percentile	The plan starts above \$1M
\$1M to \$3M of recurring revenue	not applicable	132% at the 90th percentile	The plan passes through this band inside one year

Legend. Thresholds from published benchmarking studies. Best in class is the top decile in one study and the top performer band in the other. Above them means the curve sits at the edge of what has been recorded rather than inside the middle of it.

The plan at 2031, on 47 people		\$2,317,786	\$108,935,933 of recurring revenue
The fast growing cohort		\$235,000	published benchmarking
The published median		\$193,000	published benchmarking

Recurring revenue per employee, Canadian dollars. Both benchmarks are drawn to the same scale as the plan.

The number that will be challenged hardest

At 2031 the plan carries \$108,935,933 of recurring revenue on 47 people, which is \$2,317,786 per head. Published benchmarking puts the median at about \$193,000 and the fast growing cohort at about \$235,000. The plan sits roughly twelve times above. Headcount is held flat at 47 in every scenario in the model, including the one that doubles revenue. This is the single most challengeable assumption in the whole plan and no precedent in this document supports it.

SOURCES ON THIS PAGE

Source	What it carries	Class
Bessemer, scaling to \$100 million	Top performer growth thresholds by revenue stage. Open	Primary
SaaS Capital, 2025 benchmarking	Ninetieth percentile growth rates by revenue stage. Open	Primary

16 What a business like this has been worth

Verafin, at acquisition		19.5x	US\$2.75B, stated in the deal document
AuditBoard, at acquisition		~15x	above \$3B, our calculation on disclosed revenue
Pagero, at acquisition		~11x	US\$800M against disclosed recurring revenue

Multiples of recurring revenue paid for regulation driven compliance vendors. The Verafin multiple is stated in the acquisition document itself. The other two are our own calculation against disclosed figures and are marked as such.

Applied to 2031 recurring revenue of \$108,935,933	Implied
At the Pagero multiple, about 11 times	\$1.20B
At the AuditBoard multiple, about 15 times	\$1.63B
At the Verafin multiple, 19.5 times	\$2.12B

Legend. Arithmetic on the plan's own recurring revenue at three observed multiples. It is not a valuation, it is a range, and it assumes the plan is delivered in full.

17 The ceiling, stated plainly

Canada alone has a top

The register holds 18,254 entities worth \$931,964,450 at list price, \$840,471,950 once firms reached through a partner stop being counted twice, and \$490,572,719 once the firms with no budget for this today come out. All three are set out in 02.1, the market size paper. A plan that reached every qualified firm in Canada would still be a Canadian business.

Bounded populations take longer than the famous curves

Drata went from \$1M to \$100M of recurring revenue in three and a half years and Vanta reached \$300M by April 2026, both selling to a global buyer base. Vendors inside a bounded regulated population take an order of magnitude longer: Clio eighteen years, Verafin twenty three. Canada alone does not produce a Drata curve, and the plan should not be read as claiming one.

SOURCES ON THIS PAGE

Source	What it carries	Class
Nasdaq, acquisition disclosure	US\$2.75B at about 19.5 times expected revenue. Open	Primary
Hg, AuditBoard acquisition	Above \$3B. The multiple is our own calculation against the last disclosed recurring revenue. Open	Primary
Thomson Reuters and Pagero year end	US\$800M against disclosed revenue and recurring revenue. Open	Primary
Drata and Vanta	Time to scale on a global buyer base. Open	Primary

18 What was withdrawn on re-verification

The 15 August paper carried claims that did not survive being checked against a source on 17 August. They are listed rather than deleted without a word, because the strength of everything that did survive depends on a reader knowing what did not.

What was claimed	What the check found
Nasdaq framed Verafin's core segment as 25 per cent penetrated	No source located. Searched the acquisition disclosure, investor releases and earnings material. Withdrawn
Verafin holds 67 per cent of the top fifteen United States credit unions	No source located anywhere on the company or acquirer sites. Withdrawn
Dye and Durham holds about 90 per cent of Ontario conveyancing	No source located. The 100 or more municipalities figure survives but traces to an advocacy group rather than the company. Withdrawn
Alloy reached \$55M of recurring revenue in eight years and then went flat	Rests on an aggregator's estimate. The company has never disclosed recurring revenue. Withdrawn
Two legacy legal vendors hold 3.2 per cent and 0.17 per cent of United States firms	The survey cited publishes category adoption and no vendor level share. Withdrawn
A benchmarking study puts top quartile growth at 515 per cent at the \$1M to \$10M stage	No source located in that firm's published material at any stage. Withdrawn
Vanta was valued at \$2.45B, about 11 times recurring revenue	The \$2.45B is the July 2024 round; the current figure is \$4.15B from July 2025. The multiple reconciles with neither pairing. Withdrawn
Cheque cashers, factors and financing entities came into scope on 10 July 2025	The regulator's own page says 1 April 2025. Corrected
The first independent safeguarding review falls in September 2028 and looks back three years	The regulation names no first date and imposes no lookback. It sets a review at least once every three years. Withdrawn across the whole document set

Legend. Withdrawn means the claim is gone rather than softened. Eight claims were withdrawn and one date corrected.

What this document does not prove

Analogy is not causation. These vendors describe how mandates have behaved, not how this one must behave. No regulator endorses any vendor, here or anywhere named. The multiples on the previous page are arithmetic on a plan that has not been delivered. And the one assumption that decides whether the plan works, the price each obligated firm will pay, has no precedent in this document and no customer behind it yet.